things to arrive at an exact optimal asset mix to the tenth decimal, but frankly I find this a waste of everyone's time, including the valued reader of this book. There are many interesting concepts coming out of Modern Portfolio Theory, but the vast majority of the methods have absolutely no bearing on reality and should probably not be used very much outside of classrooms.

Still, the core concept of the efficient frontier is reasonably valid, even though some assumptions and methods surrounding it may not be, so I'm going to make a very simplified variant just to prove my point regarding diversification. In the following analysis, I have two assets to choose from: one is our core trend-following futures strategy with all costs loaded, and the other is the S&P 500 Total Return Index net of dividends. The question is how much we should buy of each to get the best volatility adjusted results for the overall portfolio.

To test this, I ran a 100-iteration efficient frontier calculation for combinations of these two assets, shown in Figure 5.13. The rebalancing is done monthly to make sure that the much higher long-term yield of the futures strategy does not result in an overwhelming amount of the assets in that strategy after a good period.

We already know that the futures strategy has a much higher expected return, so there is no surprise that the highest returns are achieved with a maximum allocation to futures, but that is not what we are looking for here. Figure 5.13 shows the equivalent of a so-called efficient frontier for the two assets in our portfolio, with annual compound return on the y-axis and

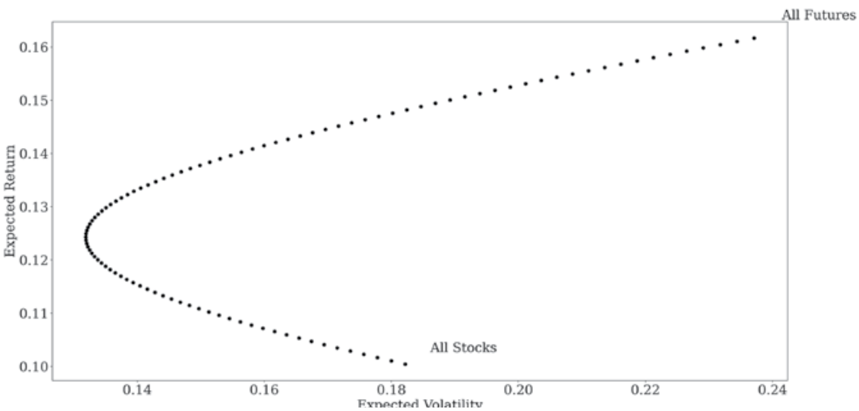

FIGURE 5.13 Diversified futures as an enhancement to an equity portfolio.